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Case Number: 25STCV20815 Hearing Date: August 7, 2026 Dept: 513

Superior

Court of California

County

of Los Angeles – Central District

Department 513

James A. Kay Jr.

;

Plaintiff,

vs.

Michael D. Cox

, et al.,

Defendants.

Case No.:

25STCV20815

Hearing Date:

August 7, 2026

Time:

10:00 a.m.

[Tentative] Order RE:

Demurrer
to the First Amended Complaint

MOVING PARTY: Defendants New York Life Insurance
Company, NYLife Securities, LLC, and Michael D. Cox.

RESPONDING
PARTY: Plaintiff James A. Kay, Jr.

Demurrer to the
First Amended Complaint

The court considered the moving,
opposition, and reply papers filed in connection with this demurrer.

REQUEST
FOR JUDICIAL NOTICE

The court grants
defendants New York Life Insurance Company, NYLife Securities, LLC, and Michael D. Cox's request to take judicial notice of seven Life Insurance Contracts which are the subject of this action. (Evid Code., § 452, subd. (h); Ascherman v. General Reins. Corp. (1986) 183 Cal. App. 3d 307, 310-11.)

DISCUSSION

Defendants New
York Life Insurance Company, NYLife Securities, LLC, and Michael D. Cox ("Defendants") demur to the First Amended Complaint filed by plaintiff James A. Kay, Jr. ("Plaintiff") in its entirety.

1.

First
Cause of Action: Breach of Contract

The court overrules Defendants' demurrer to the first cause of action because it is not time-barred and states facts sufficient to constitute a cause of action for breach of contract. (Code Civ. Proc., § 430.10, subd. (e).)

To state a cause of action for breach of contract, a plaintiff must allege "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis W. Realty, LLC v. Goldman (2011) 51 Cal. 4th 811, 821.) Claims for breach of contract have a four-year statute of limitations. (Code Civ. Proc., § 337, subd. (a).)

First, the court finds that the first cause of action does not demonstrate on its face that it is barred by the statute of limitations. Defendant's assertion that the claims must have elapsed because Plaintiff purchased all seven policies between 1979 and 2004 is not the proper analysis. The statute of limitations begins to run when a cause of action accrues, and a cause of action accrues when all of its elements—in this case, a breach of a contract and resulting damages—exist. (V.C. v. Los Angeles Unified School Dist. (2006) 139 Cal.App.4th 499, 509-510 [explaining when a statute of limitations begins to run].) Moreover, Defendants' assertion that Plaintiff was on inquiry notice of any breach because of Policy terms requiring annual reporting is immaterial. There is no allegation in the First Amended Complaint that those reports were made, and Defendants cannot rely on extrinsic matters to establish that this claim is time-barred at the pleading stage.

Second, the court finds that Plaintiff has adequately alleged the elements of this cause of action. Plaintiff has alleged that the seven Policies are contracts between Plaintiff and New York Life, and that Plaintiff performed his obligations under those contracts. (FAC ¶ 57.) Plaintiff also alleges that Defendants (a) did not properly disclose cash and cash surrender values, (b) did not provide the required notice for increased interest charges on outstanding loans, and (c) failed to allocate loan repayments in accordance with Plaintiff's instructions. (FAC ¶¶ 58-60.) Plaintiff has also alleged damages as a result of Defendant's conduct. (FAC ¶ 61.)

2. Second Cause of Action: Breach of Implied Covenant of Good Faith and Fair Dealing

The court overrules Defendants' demurrer to the second cause of action because it is not time-barred and states facts sufficient to constitute a cause of action for breach of the implied covenant of good faith and fair dealing. (Code Civ. Proc., § 430.10, subd. (e).) Defendants contend that this cause of action is defective for the same reasons as the first cause of action for breach of contract. For the reasons stated above, the court finds those arguments are without merit.

3. Third Cause of Action: Negligence

The court sustains Defendants' demurrer to the third cause of action because it does not state facts sufficient to constitute a cause of action for negligence since it is barred by the economic loss rule. (Code Civ. Proc., § 430.10, subd. (e).)

"[T]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties." (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 923.) This rule bars negligence claims sounding in disappointed contractual expectations unless the party "can demonstrate harm above and beyond a broken contractual promise." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 20.) Plaintiff's negligence claim alleges on its face that Defendants were negligent in suggesting and servicing the Policies. (FAC ¶ 70.) This is an allegation of negligence in performance and negotiation, and is barred by the economic loss rule.

4. Fourth Cause of Action: Intentional Misrepresentation

The court overrules Defendants' demurrer to the fourth cause of action because it is not time-barred, not barred by the economic loss rule, and states facts sufficient to constitute a cause of action for intentional misrepresentation. (Code Civ. Proc., § 430.10, subd. (e).)

"The elements of fraud that will give rise to a tort action for deceit are: (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974 [citation and internal quotations omitted].) Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendants to understand fully the nature of the charge made. (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.) "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Ibid.) "[G]eneral and conclusory allegations do not suffice." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

First, the court finds that the fourth cause of action does not demonstrate on its face that it is barred by the three-year statute of limitations. (Code Civ. Proc., § 338, subd. (d).) The mere fact that Plaintiff purchased the Policies between 1979 and 2004 does not establish that Plaintiff had "information which would put a reasonable person on inquiry." (Kline v. Turner (2001) 87 Cal.App.4th 1369, 1374.) Defendants do not point to any disclaimers in any of the seven Policies that are "so clear and so obvious" as to put Plaintiff on inquiry notice that Defendants had misled him as to the effect of the Policies' terms. (Broberg v. The Guardian Life Ins. Co. of Am. (2009) 1717 Cal.App.4th 912, 921.) Nor can Defendants rely on a term in the Policies requiring annual statements to be provided to Plaintiff as an allegation that those statements were provided and placed Plaintiff on inquiry notice.

Second, the court finds that the fourth cause of action for intentional misrepresentation is not barred by the economic loss rule, because claims for fraudulent inducement like those alleged here are categorically excluded from the rule. (Harris v. Atlantic Richfield (1993) 14 Cal.App.4th 70, 77.)

Third, the court finds that Plaintiff has adequately alleged the elements of a claim for intentional misrepresentation. Plaintiff alleges that Defendants misrepresented the true values of the Policies and that following Defendants' advice would allow the Policies to provide the promised benefits, misrepresented the tax and financial implications of taking loans on the Policies, the health of the Policies, and the required premium payments on the Policies. (FAC ¶¶ 49, 53, 75.) Plaintiff alleges that Defendants knew the representations were false at the time and were made with the intent to defraud Plaintiff. (FAC ¶¶ 22, 74-76.) Plaintiff also alleges that Plaintiff reasonably relied on Defendants' representations based on Defendant Cox holding himself out as an expert, causing Plaintiff significant financial losses in the value of the Policies, loan charges and premium payments, and tax liabilities. (FAC ¶¶ 26, 28, 77, 79.) These allegations are sufficiently specific to state a cause of action for intentional misrepresentation.

5.
Fifth
Cause of Action: Negligent Misrepresentation

The court sustains Defendants' demurrer to the fifth cause of action because it does not state facts sufficient to constitute a cause of action for negligent misrepresentation since it is barred by the economic loss rule. (Code Civ. Proc., § 430.10, subd. (e).)

"[T]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties." (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 923.) This rule bars negligence claims sounding in disappointed contractual expectations unless the party "can demonstrate harm above and beyond a broken contractual promise." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 20.) Plaintiff's negligent misrepresentation cause of action alleges that Defendants were negligent in their representations of the value and performance of the Policies. (FAC ¶ 82.) This is an allegation of economic loss on its face.

6.
Sixth
Cause of Action: Intentional Concealment

The court overrules Defendants' demurrer to the sixth cause of action because it is not time-barred, not barred by the economic loss rule, and states facts sufficient to constitute a cause of action for fraudulent concealment. (Code Civ. Proc., § 430.10, subd. (e).)

First, the court finds that the sixth cause of action is not barred by the statute of limitations for the reasons stated above in connection with the third cause of action for intentional misrepresentation.

Second, the court finds that the sixth cause of action is not barred by the economic loss rule for the reasons stated above in connection with the third cause of action for intentional misrepresentation.

Third, the court finds that Plaintiff has adequately alleged the elements of a fraudulent concealment claim. Plaintiff has alleged that Defendants concealed "the available options regarding types of life insurance policies available and the terms thereof; the differences between different types of life insurance policies and the corresponding benefits thereof, the tax implications regarding any loans taken in connection with the Policies; that certain actions could transform the Policies into MECs; the interest variations associated with the Policies' premiums and loans; and the impact of loans on cash surrender values or premium payments." (FAC ¶¶ 23, 87-89.) Less specificity is required where, as here, "it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts." (Quelimane Co. v. Steward Title Guaranty Co. (1998) 19 Cal.4th 26, 27.)

7. Seventh Cause of Action: Constructive Fraud

The court sustains Defendants' demurrer to the seventh cause of action because it does not state facts sufficient to constitute a cause of action for constructive fraud. (Code Civ. Proc., § 430.10, subd. (e).)

Constructive fraud "arises on a breach of duty by one in a confidential or fiduciary relationship to another which induces justifiable reliance by the latter to his prejudice." (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223

Cal.App.4th 1105, 1131 [citation and internal quotations omitted].)

Plaintiff does not allege any facts which, as a matter of law, demonstrate the type of “confidential or fiduciary relationship” which could support a claim for constructive fraud. Insurance agents ordinarily “owe a limited duty to their clients, which is only to use reasonable care, diligence, and judgment in procuring the insurance requested by an insured.” (Pac. Rim Mech. Contractors, Inc. v. Aon Risk Ins. Services. W., Inc. (2012) 203 Cal.App.4th 1278, 1289.) Plaintiff cites no authority establishing that, by advising Plaintiff on premium payments, loan repayment strategies, policy changes, and financial planning, Defendant Cox assumed a confidential or fiduciary relationship beyond the relationship between an insurance broker and his client.

8. Leave to Amend

The burden is on the plaintiff “to articulate how it could amend its pleading to render it sufficient.”¿ (Palm Springs Villas II Homeowners Assn., Inc. v. Parth¿(2016) 248 Cal.App.4th 268, 290.)¿ To satisfy that burden, a plaintiff “must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading.”¿ (Goodman v. Kennedy¿(1976) 18 Cal.3d 335, 349.)¿

The court finds that Plaintiff has not articulated any amendments which could be made to render the third, fifth, and seventh causes of action sufficient. The court therefore sustains the demurrer to those causes of action without leave to amend.

ORDER

The court SUSTAINS defendants New York Life Insurance Company, NYLife Securities, LLC, and Michael D. Cox’s demurrer to plaintiff James A. Kay Jr.’s First Amended Complaint as to the third, fifth, and seventh causes of action without leave to amend.

The court
OVERRULES defendants New York Life Insurance Company, NYLife Securities, LLC, and Michael D. Cox’s demurrer to plaintiff James A. Kay Jr.’s First Amended Complaint as to the first, second, fourth, and sixth causes of action.

The court orders
defendants New York Life Insurance Company, NYLife Securities, LLC, and Michael D. Cox to file an answer to plaintiff James A. Kay Jr.’s First Amended Complaint within 10 days of the date of this order.

The court orders defendants
New York Life Insurance Company, NYLife Securities, LLC, and Michael D. Cox to give notice of this ruling.

IT IS SO ORDERED.

DATED: August 7, 2026

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Robert B. Broadbelt III

Judge of the Superior Court